

Creative destruction

The term 'creative destruction' encapsulates the insight that the progress of capitalism is bumpy – to create anew, the old has to be destroyed. The Austrian economist Joseph Schumpeter argued that economic development is powered by entrepreneurs who innovate and take risks. Entrepreneurs come up with new products and create markets for them. Think, perhaps, of the laptop or the compact disc player – unprecedented products whose inventors created with no guarantees of success. The firm that introduces a new product earns high profit for a time – the promise of this return is what drives the innovative effort – but eventually other firms start to produce similar products and the market plateaus.

In this way of thinking, recessions are necessary to weed out old, stagnant businesses and make way for a new generation of entrepreneurs. This is different from the standard economic view of the market's 'invisible hand' (see [The invisible hand](#)) smoothly allocating resources to the best possible uses.

THE CYCLE OF INNOVATION AND CREATIVE DESTRUCTION

